EXECUTIVE SUMMARY

A. Introduction

Old folks in Amulung claim that the place got its name from a vine, which was then abundant in the forest. Natives called this vine "Am-a-mulung". Since then, the place came to be known as Amulung up to its operation as a Municipality on December 15, 1734.

Amulung is 26 kilometers north of Tuguegarao City and could be reached in 35 minutes by land transportation. It has 47 barangays and classified as a second (2nd) class Municipality, covering an area of 24,220 hectares and populated by about 42,754 inhabitants.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the Local Government units to include not only on the ability to create sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the National Government's thrust for sustainable social and economic development.

The audit covered the accounts and operations of the Municipality of Amulung, Cagayan for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

B. Operational and Financial Highlights

B.1. Program, Projects and Activities completed in CY 2021

The following infrastructure projects charged under the different sources of funds of the Municipality of Amulung were completed in CY 2021:

Programs/Projects/activities	Location	Total Cost Incurred
20% Development Fund – Current		
Concreting of Farm to Market Road Dadda – Gangauan (Riverside) Road	Dadda, Amulung	1,999,351.55
Concreting of Farm to Market Road Catarauan(Palagto) Road	Catarauan, Amulung,	999,297.34
Concreting of Farm to Market Road Anquiray (Cemetery) – Gangauan Road	Anquiray, Amulung	2,424,946.32
Concreting of Farm to Market Road (Nanuccauan Road)	Nanuccauan, Amulung	1,999,000.00

Programs/Projects/activities	Location	Total Cost Incurred
Concreting of Farm to Market Road (Bayabat – Blue Hawaii Road)	Bayabat, Amulung	1,998,570.48
Concreting of Babayuan Farm to Market Road with Slope Protection	Babayuan, Amulung	1,998,974.71
Concreting of Farm to Market Road (Casingsingan Norte – Calintaan – Caratacat Road)	Caratacat, Amulung	1,998,339.88
Concreting of Farm to Market Road Bayabat – Bacring (Main) Road	Bayabat, Amulung	1,998,045.57
Concreting of Farm to Market Road La Suerte – Nagsabaran Road	Nagsabaran, Amulung	1,998,998.88
Construction of Baculud (Sitio San Manuel) Child Learning Center	Baculud, Amulung	996,985.14
Construction of Concepcion Child Learning Center	Concepcion, Amulung	997,262.91
Construction of Baccuit Child Learning Center	Baccuit, Amulung	997,781.20
Construction of Calintaan Child Learning Center	Calintaan, Amulung	997,820.35
Construction of Calamagui (Sitio Camangan) Child Learning Center	Calamagui, Amulung	997,000.00
Construction of Estefania Multi-purpose Building with Child Learning Center (Phase 01)	Estefania, Amulung	860,737.98
Rehabilitation and Improvement of Gabut Barangay Stage	Gabut, Amulung	993,856.40
Construction of Multi-purpose Building Anquiray (Phase 02)	Anquiray, Amulung	998,990.26
Construction/Improvement of Barangay Unag Multi-purpose Building/Covered Court	Unag, Amulung	1,977,793.78
20% Development Fund – Continuing		
Construction of Sanitary Landfill with Facilities, Roadways and Structures (Phase 01)	Marobbob, Amulung	5,475,090.44
Concreting of Farm to Market Road (Anquiray – Marobbob – Gangauan Road)	Anquiray, Amulung	2,998,778.54
Rehabilitation and Improvement of Main Functional Building Phase 05 & 06)	Centro, Amulung	6,931,026.27
Concreting of Farm to Market Road (Casingsingan Norte – Calintaan Road)	Calintaan, Amulung	1,998,655.42
Tobacco Excise Tax		
Concreting of Farm to Market Road (Goran)	Goran, Amulung	1,990,445.03
Concreting of Farm to Market Road Annafatan (Zone 5) Road	Annafatan, Amulung	1,997,572.10

Programs/Projects/activities	Location	Total Cost Incurred
Concreting of Farm to Market Road (Baccuit – Dafunganay Road)	Baccuit, Amulung	1,995,182.86
Concreting of Farm to Market Road (Masical Waig Road)	Masical, Amulung	1,999,630.26
Concreting of Farm to Market Road (Bauan – Palacu Road)	Bauan, Amulung	1,994,359.81
Concreting of Farm to Market Road (Dugayung Road)	Dugayung, Amulung	998,933.94
Concreting of Farm to Market Road (Z1 Annafatan Road)	Annafatan, Amulung	1,999,353.66
Concreting of Farm to Market Road (Annabuculan Road)	Annabuculan, Amulung	998,925.26
Concreting of Farm to Market Road (Baculud – Dadda Road)	Baculud, Amulung	1,999,347.11
Concreting of Farm to Market Road (Goran – Cordova Road)	Corodva, Amulung	1,999,377.41
Concreting of Farm to Market Road (Tana – Pacac grande Road)	Tana, Amulung	1,996,242.47
Concreting of Farm to Market Road (Abolo Road)	Abolo, Amulung	1,998,706.71
Concreting of Farm to Market Road (Jurisdiccion Road)	Jurisdiccion, Amulung	1,052,965.17
Concreting of Farm to Market Road (Logung Zone 3 & 4) Road	Logung, Amulung	1,998,998.10
Concreting of Farm to Market Road Calamagui (Camangan) Road	Calamagui, Amulung	1,997,470.44
Concreting of Farm to Market Road (Dadda – Magogod Road)	Magogod, Amulung	1,999,371.76
Concreting of Farm to Market Road (Pacac Grande – Pacac Pequeño Road)	Pacac Grande, Amulung	1,997,781.09
Financial Assistance from National Government Agencies		
Repair/Improvement of Monte Alegre Barangay Health Station	Monte Alegre, Amulung	495,099.09
Construction of Built-in Comfort Rooms	Bayabat, Amulung	498,853.42
Construction of Comfort Room	Amulung East Central School, Amulung	498,925.94
Construction of Material Recovery Facility (additional)	Marobbob, Amulung	277,524.26
Repair of Water System of Amulung Rural Health Unit	Sub-office Annafatan, Amulung	348,047.70

For social services the Municipality of Amulung implemented the following programs/projects/activities for CY 2021:

Project/Program/Activity	No. of beneficiaries	Total Amount
Assistance to Individuals in Crisis Situation (AICS)	350	1,300,000.00
Emergency Shelter Assistance (ESA)	9	700,000.00
Self-Employment Assistance (SEA)	17	400,000.00
Livelihood Assistance Program	642	6,256,885.00
Medical Assistance for chronic patient	553	4,009,000.00
Death Aid Assistance	513	5,130,000.00
Centenarian	66	623,000.00
Food Assistance	249	360,000.00
Solo Parent	194	658,000.00
Day Care Service Program	1,189	1,890.000.00
Supplemental Feeding	5,000	120,000.00
Child and Youth Welfare Program	800	359,000.00
Scholarship Program	4,000	8,808,000.00

For CY 2021 the financial information of the Municipality is presented below:

Particulars	2021	2020	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	657,021,898.56	618,065,479.49	38,956,419.07	5.93%
Liabilities	134,658,064.68	152,555,490.20	(17,897,425.52)	-13.29%
Government Equity	522,363,833.88	465,509,989.29	56,853,844.59	10.88%
Result of Operations				
Income	267,296,433.15	193,330,730.60	73,965,702.55	27.67%
Expenses	187,435,247.77	176,097,966.27	11,337,281.50	6.05%
Appropriations, Allotments and Obligations				
Total Appropriation	262,107,892.47	224,082,921.70	38,024,970.77	14.51%
Total Obligations	188,747,052.92	144,675,194.92	44,071,858.00	23.35%
Particulars	**2021**	**2020**	**Increase/(Decrease)**	
			Amount	**Percentage**
Comparative Statements of Funds Received from NGAs, LGU, NGOs, & POs				
Nat'l Gov't Offices	13,464,867.42	54,364,314.44	(40,899,447.02)	-303.75%
Local Gov't Units	-	533,620.00	(533,620.00)	0.00%
Comparative Statements of Funds Transferred to NGAs, LGU, NGOs, & POs				
Local Gov't Units	2,447,000.00	47,000.00	2,400,000.00	98.08%

C. **Auditor's Opinion on the Financial Statements**

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Amulung as of December 31, 2021 due to the following:

1. The accuracy of the PPE account in the financial statements amounting to ₱227,044,422033 cannot be verified, due to non-completion of physical count of all Property Plant and Equipment;

2. Completed Projects as of December 31, 2021 amounting to ₱ 4,850,259.77 were still included in the Construction in Progress – Buildings and Other Structures account and not yet reclassified in the Property, Plant and Equipment account;

3. Various goods, drugs and medicines, supplies, and materials procured totaling to ₱4,248,635.07 were recorded as outright expenses, instead of initially recording the same to the appropriate inventory accounts; and

4. Book reconciling items amounting to ₱462,088.79 for the Trust Fund - Proper and (₱1,500.00) for the General Fund as of December 31, 2021 were not taken up in the books of the agency, thus affecting the reliability of the Cash in Bank accounts.

D. Summary of Significant Observations and Recommendations

The following are the audit team's significant audit observations and recommendations:

1. **Forty five or 52.32% of 86 projects funded out of the 20% Development Fund from CY 2013 to CY 2021, were not implemented as of December 31, 2021, which is not in accord with Item 5 of DILG DBM Joint Memorandum Circular No. 2017-1, resulting in the non-delivery of the desired socio-economic development and environmental outcomes of the Municipality.**

   We recommended that Management submit justifiable reason why there are still 43 projects budgeted/targeted in CY 2013 to CY 2020 in the amount of ₱67,640,039.91 and two projects budgeted in CY 2021 in the amount of ₱8,000,000.00, which were not implemented as of December 31, 2021.

   Likewise, we recommended that Management prioritize the implementation of 43 projects targeted in CY 2013 to CY 2020 totaling to ₱67,640,039.91, to ensure effective delivery of socio-economic development and benefits to its constituents.

2. **Savings derived from the implementation of 41 projects under 20% Development Fund covering the period CY 2014 to 2021 totaling to ₱2,105,970.45 as of December 31, 2021 were not reverted to the unappropriated surplus contrary to Section 322**

of RA 7160, thus depriving the LGU constituents of the possible benefits they can derive from the utilization of the fund.

We recommended that Management instruct the Municipal Budget Officer to review the unexpended balances pertaining to CY 2014 to 2021 appropriation in the amount of ₱2,105,970.45 and revert the same for appropriation to other development projects.

3. **The Municipality was not able to utilize the amount of ₱24,214,836.99 or 87% of out of ₱27,780,952.40 continuing appropriations (Capital Outlay), thereby defeating the purpose for which the fund was budgeted and depriving the constituents to possible benefits deriving from the implementation of the different Program, Project and Activities (PPAs).**

   We recommended that Management review the continuing appropriations totaling to ₱24,214,836.99 as part of the annual budget preparation. Likewise, the Sanggunian concerned may approve, upon recommendation of the Local Chief Executive, the reversion of funds no longer needed in connection with the activities funded by said continuing appropriations.

4. **The Municipality was not able to utilize the amount of ₱ 5,465,813.00 or 82% Local Disaster Risk Reduction and Management Fund (LDRRMF) out of ₱ 6,674,854.90 of the current year's appropriation and ₱ 15,971,424.80 or 71% out of ₱22,515,288.02 prior years' unexpended Local Disaster Risk Reduction and Management Fund (LDRRMF), thereby defeating the purpose for which the fund was budgeted specifically intended for disaster prevention and mitigation, preparedness and response capabilities.**

   We recommended that Management require the Local Disaster Risk Reduction and Management Office submit explanation/justification on the low utilization of the LDRRMF allocated for the 70% mitigation fund intended for disaster prevention and mitigation. We also recommend that Management prioritize the implementation of the Program, Projects, and Activities under the LDRRM mitigation fund in order to strengthen their risk reduction management system to achieve a disaster resilient Municipality.

E. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2021:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	
Disallowances					
Prior Years	15,053,923.29	0.00	966,851.70	14,087,071.59	
Current Years	0	0.00	0.00	0	
Total	15,053,923.29	0.00	966,851.70	14,087,071.59	
Charges					
Prior Years	0.00	0.00	0.00	0.00	
Current Years	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2020 Annual Audit Report are summarized as follows:

Implemented		15
Not Implemented	0	
Not Implemented and Reiterated in CY 2021 AAR	4	4
Total		**19**